

Checklist:

Managing Downturn Checklist

1. Get your own head straight

- ☐ Acknowledge what you are feeling: guilt, anxiety, isolation, confusion, frustration, grief, stress
- ☐ Separate facts from self-blame
- ☐ Stop telling yourself either of these stories:
 - ☐ “This is all happening to me”
 - ☐ “I should have been perfect”
- ☐ Replace them with: “I can influence how we navigate this”
- ☐ Focus on progress, not perfection
- ☐ Identify what is in your control right now
- ☐ Commit to one concrete next step

2. Read the emotional state of your team

- ☐ Look for fear signals: withdrawal, fixation on layoffs, reduced creativity, silence in meetings
- ☐ Look for grief signals: low energy, loss of enthusiasm, disappointment, mourning lost colleagues or plans
- ☐ Look for guilt/stress signals: overwork, burnout, overcompensation, inability to disconnect
- ☐ Recognize that morale problems are often trust and purpose problems
- ☐ Treat emotional undercurrents as operating risks, not side issues

3. Build trust intentionally

- ☐ Explain how the team got here
- ☐ Own your part honestly
- ☐ Speak like a human, not a corporate script
- ☐ Address the big unanswered questions directly
- ☐ Invite questions and suggestions regularly

- ☐ Validate people's feelings without getting defensive
- ☐ Share honestly, but with judgment about audience and detail
- ☐ Ask the team for help explicitly
- ☐ Repeat key context often as conditions change

4. Communicate during uncertainty

- ☐ Tell people what you know
- ☐ Tell people what you do not know
- ☐ Tell people when they should expect updates
- ☐ Avoid fake optimism and false certainty
- ☐ Do not let rumor gaps stay open
- ☐ Give the “why” behind changes in priorities
- ☐ Use plain language for difficult topics
- ☐ Keep a steady cadence of updates

5. Prioritize ruthlessly

- ☐ Adopt a scarcity mindset: do fewer things, but do them better
- ☐ Define the single most important goal for the next period
- ☐ Identify what success actually looks like
- ☐ Use a prioritization framework, such as:
 - ☐ Impact vs. effort
 - ☐ RICE
 - ☐ OKRs
- ☐ Create an explicit “non-goals” or “stop doing” list
- ☐ Pause work that does not ladder to the top goal
- ☐ Recheck priorities whenever conditions change

6. Help the team move faster

- ☐ Give people permission to say no to low-priority work
- ☐ Provide language they can use to push back
- ☐ Encourage escalation when teams are stuck in disagreement
- ☐ Make quick decision paths explicit
- ☐ Call out changes in priority in real time
- ☐ Reinforce what matters most every week
- ☐ Keep the team aligned on why the work matters now

7. If layoffs may happen

- ☐ Be clear on the reason:
 - ☐ Percentage-based cost cuts
 - ☐ Strategy/role reshaping
- ☐ Decide based on future company needs, not comfort or recency
- ☐ Identify critical projects, skills, and roles first
- ☐ Move quickly once a decision is made
- ☐ Equip managers with context, scripts, and FAQs
- ☐ Define support clearly:
 - ☐ Severance
 - ☐ Benefits
 - ☐ Transition support
- ☐ Write down all logistics and reference materials
- ☐ Communicate timeline and process with maximum clarity
- ☐ Follow up personally with impacted people
- ☐ Support the people who remain just as intentionally

8. Deliver hard news well

Bonuses reduced or removed

- ☐ Acknowledge disappointment directly
- ☐ Explain the business rationale
- ☐ Reinforce appreciation in non-monetary ways

Hiring freeze

- ☐ Reassess workload
- ☐ Cut lower-priority work
- ☐ Check team sustainability

Pay cuts

- ☐ Be transparent about why
- ☐ Explain what recovery looks like
- ☐ Reaffirm the person's value

Promotion/role growth stalls

- ☐ Reframe growth beyond title changes
- ☐ Offer stretch work, mentorship, or cross-functional exposure
- ☐ Be honest about timelines

Strategy keeps shifting

- ☐ Explain why priorities changed
- ☐ Connect each shift to company goals
- ☐ Ask for input
- ☐ Create pockets of stability where possible

Missed goals

- ☐ Acknowledge disappointment
- ☐ Highlight effort and learning
- ☐ Run retrospectives without blame
- ☐ Translate lessons into next-quarter actions

9. Keep morale grounded in reality

- ☐ Remember morale is not cheerleading
- ☐ Protect trust
- ☐ Protect purpose
- ☐ Recognize contributions publicly
- ☐ Show how today's work connects to survival or recovery
- ☐ Avoid sugarcoating
- ☐ Reinforce that people's work still matters

10. Weekly operating rhythm

- ☐ Re-state the top priority
- ☐ Review what was deprioritized
- ☐ Surface risks and rumors early
- ☐ Share any new facts or decisions
- ☐ Invite questions
- ☐ Check for overload on key people
- ☐ Recognize progress, however small
- ☐ Confirm next steps and owners

11. Personal leadership reminders

- ☐ Be real
- ☐ Be clear
- ☐ Be fast when needed
- ☐ Be compassionate
- ☐ Be consistent
- ☐ Do not confuse discomfort with failure
- ☐ Remember: trust deepens when you show up honestly in hard times